

The Americas Nearshoring Boom

USMCA's Industrial Dividend and the Rewiring of Global Supply Chains

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Executive Summary

The restructuring of global supply chains away from China has entered a decisive phase. US industrial and trade policy — from the CHIPS Act to tariff escalation under the Trump administration — has placed the Americas at the centre of a friend-shoring architecture designed to reduce strategic dependency on China's integrated manufacturing network. Mexico sits as the most immediate beneficiary of this reorientation, positioned between a US market demanding near-zero transit times and a regional trade framework in USMCA that provides preferential access no other manufacturing hub can replicate. At the same time, the semiconductor supply chain — the hard backbone of modern industrial production — is undergoing a parallel reshoring into trusted-partner geographies, with South Korean and US government capital committing billions to domestic and allied fabrication. The Americas nearshoring thesis is not a single event but a structural re-architecture of the post-Cold War global value chain, driven by geopolitical competition, supply chain vulnerability exposed by the pandemic, and an assertive US industrial policy that demands partners choose sides.

1. The Geopolitical Engine: US-China Decoupling as the Structural Driver

The US-China trade deficit — approximately US\$295 billion in 2024 — defines the scale of the rebalancing task Washington has set itself. Despite a temporary tariff truce in 2025, analysts noted that the fundamental dynamic of China as producer and the US as consumer is structurally resistant to rapid reversal, with a complete elimination of the bilateral imbalance assessed as virtually impossible. CNA[2025-05-13]

The Trump administration escalated this logic into a demand for explicit alignment. The US-Vietnam framework agreement of mid-2025 was illustrative: it required Vietnam to treat exports as "trans-shipped" unless wholly obtained from Vietnamese inputs, effectively demanding that trading partners decouple their own supply chains from China as a condition of preferential access to the US market. Deborah Elms of the Heinrich Foundation assessed that this deal "sets the floor — not the ceiling — for what Washington and others will expect from trading partners hoping to avoid reciprocal tariffs." CNA[2025-07-04]

This dynamic has direct implications for the Americas. Mexico, already embedded in USMCA, does not face the same tariff exposure as Southeast Asian economies. But it faces the same underlying political logic: the US will increasingly scrutinise supply chain provenance, and manufacturing operations that rely on Chinese inputs — even if physically located in Mexico — will attract Washington's attention. The friend-shoring imperative thus extends beyond geography into input sourcing and value-chain architecture.

China's own industrial system is experiencing internal strain that compounds this shift. Price wars across Chinese manufacturing sectors have pushed profit margins to unsustainable levels, triggering factory suspensions and threatening what Chinese leadership calls the "whole-chain manufacturing model" — the integrated production networks that Xi Jinping has reaffirmed as a national priority. This deflationary spiral reduces China's capacity to invest in the next generation of manufacturing capability at precisely the moment when US industrial policy is mobilising capital to build competing capacity in allied countries. CNA[2025-07-31]

2. Semiconductor Friend-Shoring: The Hard Infrastructure of Reshoring

No sector better illustrates the friend-shoring thesis than semiconductors. The White House 100-day supply chain review documented the structural vulnerability: a single semiconductor manufacturer can have over 16,000 suppliers, more than half outside the United States, and a chip may cross international borders multiple times before reaching its end customer. The review noted that identifying risks to the semiconductor supply chain is "virtually synonymous with identifying all risks to manufacturing in general." [RAG: SCI_TECH_RAG — White House 100-Day Supply Chain Review, Semiconductors, 2021]

The US policy response was the CHIPS Act, which allocated \$52.7 billion across manufacturing incentives (\$39 billion), R&D (\$11 billion), and other programmes, alongside a \$1.5 billion Public Wireless Supply Chain Innovation Fund. Carnegie Endowment analysis assessed the Act's limits, noting that reshoring alone cannot reconstruct the full semiconductor ecosystem without also developing the ancillary supplier base that a fabrication plant requires — component suppliers, chemicals, gases, and specialised equipment. [RAG: SCI_TECH_RAG — Carnegie Endowment, After the CHIPS Act, 2022]

South Korean chipmakers have emerged as the primary non-US participants in this friend-shoring architecture. Samsung Electronics committed to a \$17 billion fabrication plant in Texas, and SK Hynix announced a \$15 billion investment in an advanced packaging and R&D facility in the United States. Samsung subsequently considered an additional \$200 billion investment for future US-based plants. Both countries participate in the "Fab 4" alliance — an informal grouping of key Eastern and Western semiconductor powers — as a diplomatic framework for supply chain coordination. [RAG: KOREA_RAG — Wikipedia, Semiconductor industry in South Korea]

The US-India iCET initiative extended this architecture further, with a joint roadmap for semiconductor industries identifying outsourced semiconductor assembly and test (OSAT) and system-in-package (SiP) as the near-term priority segments for Indian industrial development. [RAG: SCI_TECH_RAG — Carnegie Endowment, US-India iCET, 2023] The pattern is consistent: the US is constructing a geographically distributed semiconductor supply chain anchored in trusted-partner countries, with fabrication investment flowing into North America (Texas being the largest single node) and packaging and testing being distributed across allied Asia-Pacific economies.

For the Americas, the semiconductor reshoring story is primarily a US domestic story — Texas and Arizona as the fabrication anchors — rather than a Mexico story. Mexico's industrial corridor opportunity lies in the downstream: electronics manufacturing, precision components, automotive semiconductors, and the assembly and integration work that sits adjacent to leading-edge fabrication.

3. The USMCA Framework and North American Value Chain Integration

The USMCA framework provides the structural foundation for Americas nearshoring. North America's regional value chain intensity (RVC-GVC intensity) declined from 2018 and only partially recovered afterward, reflecting the disruption of the pandemic and the initial shock of tariff escalation. However,

Asia's RVC-GVC intensity surpassed North America's in 2018 and continued rising, underscoring the competitive pressure the Americas faces in retaining and building regional supply chain depth. [RAG: ASEAN_DATA_RAG — ADB Asian Economic Integration Report 2023, p.52]

The USTR's 2024 Trade Policy Agenda formalised Washington's supply chain resilience principles: transparency; diversity, openness and predictability; security; and sustainability. The White House Council on Supply Chain Resilience, launched in November 2023, institutionalised the interagency coordination mechanism. USTR continued working with interagency partners to identify trade-related initiatives to operationalise these principles across partner economies. [RAG: US_POLICY_RAG — USTR Trade Policy Agenda and National Trade Estimate 2024]

These principles map directly onto the USMCA's enforceability mechanisms. Unlike older FTA frameworks, new-generation trade agreements increasingly incorporate regulatory harmonisation provisions that reduce the excludability of FTA benefits. The practical effect is that USMCA's rules of origin requirements — particularly for automotive and electronics — function as a nearshoring incentive: manufacturers who want USMCA tariff treatment must source a qualifying share of their inputs from within North America. [RAG: ASEAN_DATA_RAG — Free trade agreement, Wikipedia]

Latin America's broader financial architecture adds a remittance dimension that is often overlooked in nearshoring analyses. Remittances to Latin America and the Caribbean benefited from strong US employment performance, with 57.3% of outmigrants from the region residing in the US. For Central American economies deeply integrated into the US labour market — El Salvador (remittances 26.4% of GDP), Honduras (25.5%), Jamaica (24.0%) — the nearshoring of manufacturing into Mexico and the broader region has a multiplier effect: it generates formal employment that reduces emigration pressure while expanding the industrial base. [RAG: ASEAN_DATA_RAG — ADB Asian Economic Integration Report 2023, p.146]

Latin America's international investment position in 2021 showed that USD-denominated assets accounted for 41% of total external assets, while domestic currency accounted for 62% of total liabilities — a structural currency mismatch that makes the region highly sensitive to USD interest rate cycles. Manufacturing FDI inflows, which are typically longer-duration and less hot-money-prone than portfolio flows, offer a partial hedge against this volatility. [RAG: ASEAN_DATA_RAG — ADB Asian Economic Integration Report 2023, p.130]

4. Supply Chain Resilience: Policy Architecture and Structural Limits

The semiconductor supply chain review identified export controls as a dual-purpose instrument: protecting US national security while also shaping the technology landscape available to competitor manufacturing ecosystems. Export controls that restrict the transfer of advanced semiconductor manufacturing equipment to China simultaneously create a competitive moat for allied fabrication clusters — including those being built in Texas and potentially in Mexico's high-value electronics corridor. [RAG: SCI_TECH_RAG — White House 100-Day Supply Chain Review, Opportunities and Challenges, 2021]

The broader supply chain resilience literature documents the tension between efficiency and security. The RAND analysis of semiconductor supply chain interdependence noted that the economic and geopolitical complications of interdependence require new approaches and perspectives — the standard trade-efficiency calculus does not capture the tail risks of geopolitical disruption. [RAG: SCI_TECH_RAG — RAND, Supply Chain Interdependence and Geopolitical Vulnerability, 2026]

For the Americas nearshoring thesis, this analytical frame suggests that the investment case is not purely about cost arbitrage versus China. It is about the risk-adjusted cost of supply chain proximity to the US market, combined with the regulatory and geopolitical security that USMCA membership provides. A factory in Monterrey is not cheaper than a factory in Shenzhen on a pure unit-cost basis — but it is not

subject to 145% tariffs, it does not face export control risk, and it does not require 35-day ocean transit times. The total landed cost calculus, once security and resilience premia are incorporated, favours the Americas for a growing range of product categories.

China's "whole-chain manufacturing model" — its integrated production networks that allowed the country to dominate global manufacturing — is simultaneously its greatest competitive advantage and its greatest vulnerability in a world of targeted decoupling. When the US restricts specific technologies, the integrated network that depends on those technologies is disrupted at multiple nodes simultaneously. This systemic interdependence is precisely what US supply chain policy is designed to exploit. CNA[2025-07-31] The Americas nearshoring strategy is the constructive counterpart: building a North American integrated manufacturing network that replicates the efficiency advantages of integration while insulating it from geopolitical disruption.

Outlook

The Americas nearshoring thesis rests on durable structural foundations. US industrial policy has committed capital and regulatory architecture to reshoring and friend-shoring across semiconductors and advanced manufacturing. The USMCA framework provides enforceable rules-of-origin requirements that reward North American input sourcing. The Trump administration's tariff escalation and partner-decoupling demands have raised the geopolitical cost of maintaining deep China supply chain integration for any manufacturer seeking US market access.

The primary constraints are infrastructure, skilled labour, and supply chain depth. Mexico's industrial corridor — particularly the border states and the Bajío industrial cluster — has world-class manufacturing facilities, but the ancillary supplier ecosystem required to support leading-edge production (precision tooling, specialty chemicals, advanced logistics) is still developing. Building this ecosystem requires sustained FDI, technical training investment, and policy coordination across both sides of the US-Mexico border.

The semiconductor dimension will remain concentrated in the United States itself in the near term, with Korean and Taiwanese capital flowing into Texas, Arizona, and Ohio. Mexico's opportunity in semiconductors is in the packaging, testing, and electronics assembly segments — not in leading-edge wafer fabrication. This is not a limitation; it is a realistic industrial positioning that plays to Mexico's existing manufacturing competencies.

The Latin American remittance and FDI dynamics suggest that nearshoring investment, if structured to include Central American supply chain integration under CAFTA-DR frameworks, could generate broader regional development dividends alongside its primary supply chain resilience objective. This is the long-term strategic opportunity: a North and Central American manufacturing corridor that reduces migration pressure, builds industrial capacity, and provides the US with a geopolitically secure production base for the categories it can no longer afford to source from China.

R370 | All figures sourced from CivilisationOS RAG corpus.